easy to capture a persistent reversal pattern following the first 12 months of return continuation. The results are consistent with Moskowitz et al. (2012). However, if we use an alternative set of regressors which covers all the information over the look-back period, the time series reversal is more observable. As shown in Panel B, the 12 months period return and mean return sign lead to a strong reversal after the short-term momentum effect. Between month 12 and 24, the t-statistics of beta coefficients are lower than -3 for most months, indicating statistical significance at the 1% level. Interestingly, time series reversal is "double-humped", with t-statistics also being significant during months 36–60. Although the average t-statistics for months 36–60 are only slightly lower than those during months 12–24, they do not produce an obvious contrarian profit.[11] Therefore, we conclude that this 36–60 month reversal is weak and decide not to cover it in the paper.

The results shown in Panel C of Figure 2 further validate the existence of time series reversal. Both TSM and RSM signals are positively correlated with the future returns in the short-run. In the medium-run, they experience a statistically significant reversal. The next two subsections inspect the timing and profitability of time series reversal.

3.1. Return Decays of Multiple Holding Periods Strategies

In an attempt to evaluate trend-following strategies with multiple holding periods (i.e., holding the underlying assets for more than 1 month), we find that these strategies never outperform the same strategy using a 1-month holding period. A similar result was also found in Moskowitz et al. (2012). The authors tested the alphas of different TSM strategies with various holding periods demonstrating that the 1-month holding period strategy specification outperforms all other specifications with holding periods of more than 1 month. The longer the holding period, the lower the alpha, indicating that trend-following profits are gradually offset by the subsequent reversals.[12]

[11] This is discussed in the next subsection and reflected in return decays shown in Figure 3.
[12] See Table 2 in Moskowitz et al. (2012).